

Moving the flags: a practical roadmap for improving project bankability

ROCKBlue ACORN initiative | PAWS #4 | October 2026
Neil Patel



Agenda

01

What makes a project bankable? Introducing the flags framework.



02

Case study of a successful transaction



03

What can ACORN do for you?



LEARNING OBJECTIVE

Use the flags framework to identify internal project weaknesses and adopt measures to improve project bankability

What do investors want to see?

01

Repayment source

Cash flow that covers debt service

02

Defined investment

A costed scope, delivery plan, and measurable service or efficiency outputs.

03

Durable authority

Borrowing powers, approvals, contracts, and governance that survive personnel or political change.

04

Matched risk

Concessional funds, guarantees, equity, or syndication used only where the risk requires them.

Most failed approaches break at one of four barriers

01

Cash flow and credit

Tariffs or transfers do not cover costs; collections are weak; NRW is high; accounts are unaudited.

What reliably repays the financing?

02

Project and data readiness

Scope, cost, feasibility, model, safeguards, approvals, or procurement plan are incomplete.

What exactly are we financing—and can it be delivered?

03

Institutional and legal risk

Borrowing authority, tariff approvals, contract durability, governance, or political support is uncertain.

Can the commitments be enforced and sustained?

04

Capital mismatch

The deal is too small, too large, too short-tenor, wrong-currency, or too costly to transact as designed.

Does the proposed instrument fit the project?

Flags framework: pursue, prepare, or rescope

Criterion	GREEN FLAG: PURSUE	YELLOW FLAG: PREPARE	RED FLAG: RESCOPE
1 Commercial model Do the project economics make sense?	Pays for itself under cautious assumptions and comfortably covers loan payments.	Returns depend on assumptions about demand or tariff increases.	Does not pay for itself without significant operating subsidies.
2 Offtaker creditworthiness Is the payer reliable?	Payer is government-backed, an industrial user, or a utility with audited accounts and ring-fenced revenue.	Utility finances are weak but improving, or a guarantee, ring-fenced revenue or phased performance contract is available.	Payer is insolvent, has failed to pay on earlier contracts, or has no audited accounts.
3 Political risk Could politics undo the deal?	Formal endorsement that would survive a change of government, with support beyond one minister.	Relies on a single ministerial champion. An election is approaching, but consensus looks intact.	Depends on one champion, water is an election issue, or the country recently cancelled or renegotiated water contracts.
4 Sovereign and DFI risk mitigation Is a guarantee or grant in place?	A development lender is engaged as anchor. A government guarantee or gap funding is available.	A development lender is interested but not committed. Government support letter, but no formal guarantee.	No development lender will anchor it and no government support. The plan assumes commercial debt only.
5 Tariff regime Do tariffs cover costs?	Tariff covers the full cost of water and rises with inflation. An independent regulator has a record of approving increases.	Tariff covers running costs but not the full cost. The regulator is politically influenced. Targeted subsidies are possible.	Tariff is well below full cost with no path to recovery. Increases were recently blocked or reversed.

Flags framework: pursue, prepare, or rescope

Criterion	GREEN FLAG	YELLOW FLAG	RED FLAG
6 Legal framework and contract sanctity Is the legal route clear?	A public-private partnership law is in force, water law allows private participation, and past contracts were honoured.	The framework exists but is not explicitly extended to the water sector.	No such law, or a recent expropriation or forced renegotiation in any sector.
7 Project size and economics Is the deal the right size?	Between US\$20 million and US\$500 million.	Below US\$20 million with a credible pooled or programme structure, or above US\$500 million but phased.	Below US\$10 million standing alone with no pooling option, or a single-phase mega-project.
8 Sponsor financial capacity Can the borrower absorb a shock?	Balance sheet can provide performance guarantees, working capital and extra equity if needed.	Balance sheet is adequate but thin. Support would depend on a parent guarantee or strategic partner.	Cannot backstop operations, and no credible parent or partner can.
9 Sponsor internal governance Is the sponsor legally capable of deciding on and executing the project?	Legally incorporated, with a signed agreement on ownership, board, decisions and disputes.	Incorporated, but the shareholders' agreement is still being negotiated.	No legal entity, only a memorandum or verbal agreement. Unclear authority, disputes or integrity concerns.
10 Sponsor past experience Has the sponsor closed a similar transaction before?	Has closed a comparable deal in the country, with highly qualified technical partners.	Has closed a comparable deal, or is a first-timer with a highly qualified technical partner.	No track record in the country and no experienced technical partner.

Case Study: Embu Water and Sanitation Company

THE UTILITY

Embu Water and Sanitation Company (EWASCO)

County-owned corporate utility serving Embu town and nearby rural areas in central Kenya

Regulated by WASREB

BB

credit rating (WASREB)

One step below investment grade.

94%

revenue collection efficiency

39%

non-revenue water

<50%

population served

WHAT IT WANTED

To borrow from a Kenyan commercial bank, expand its network, and repay the loan from water bills.

The project: a 23 km water pipeline to 6,000 households

WHAT

23 kilometres of new water pipeline, with household connections.

WHERE

Low-income areas on the edge of Embu town, in Mbeere and nearby communities.

WHO IT SERVES

6,000 households, 100 schools and 15 clinics.

HOW IT PAYS BACK

The new households become paying customers. Revenues from water bills repay the loan.

THE NUMBERS

US\$945,000

borrowed from the bank

6,000

new household connections

23 km

of pipeline

Initially, nine yellow flags and one green

Criterion		Flag	Why
1	Commercial model	YELLOW	Repayment would come from untested tariff increases – no willingness-to-pay analysis in place.
2	Offtaker creditworthiness	YELLOW	Rated BB (below investment grade) in 2011
3	Political risk	YELLOW	Incomplete devolution of sector governance – legal framework was clear but not fully implemented in practice.
4	Sovereign and DFI risk mitigation	YELLOW	Discussions underway for a guarantee but nothing formal in place.
5	Tariff regime	YELLOW	Repayment would come from untested tariff increases – no willingness-to-pay analysis in place.
6	Legal framework and contract sanctity	YELLOW	A regional board owns the pipes and plants, not the utility itself. Embu cannot pledge them.
7	Project size and economics	YELLOW	Small transaction size.
8	Sponsor financial capacity	YELLOW	Small county utility that must fund part of any project itself.
9	Sponsor internal governance	GREEN	A registered company since 2003, with its own board and sound corporate governance.
10	Sponsor past experience	YELLOW	Has never borrowed from a bank.

How Embu turned the flags green

Flag	THE PROBLEM	WHAT EMBU DID	WHY THAT ANSWERS THE FLAG
1 Commercial model BEFORE: YELLOW AFTER: GREEN	- The loan would be repaid from the water bills of about 6,000 new low-income households. - Nobody had surveyed new customers to see whether they would connect and pay.	- Willingness and ability to pay study - Prepared a financial model of loan repayment* - Selected project shortlisted for quick payback.* - Secured results-based grant from WSTF	- Revenue assumption was validated before borrowing. - Grant reduces the borrowing amount
3 Political risk BEFORE: YELLOW AFTER: GREEN	- Kenya's 2010 constitution moved water services to county governments, which took over in 2013. - Embu's owner changed from the town to county. - Some counties refused to back utility loans.	- The county government gave a letter of no objection, which the banks required to proceed* - The county governor launched the project in public as proof of support.	Confirmed sponsorship of project by county government

* Applied to every utility in the support programme. The source does not describe it for Embu alone. Sources: World Bank (2016), Blended financing in Kenya; World Bank, Measuring Creditworthiness of Water Utilities; USAID (2014-2018); Kazimbaya-Senkwe (2018); Kenya water regulator.

How Embu turned the flags green

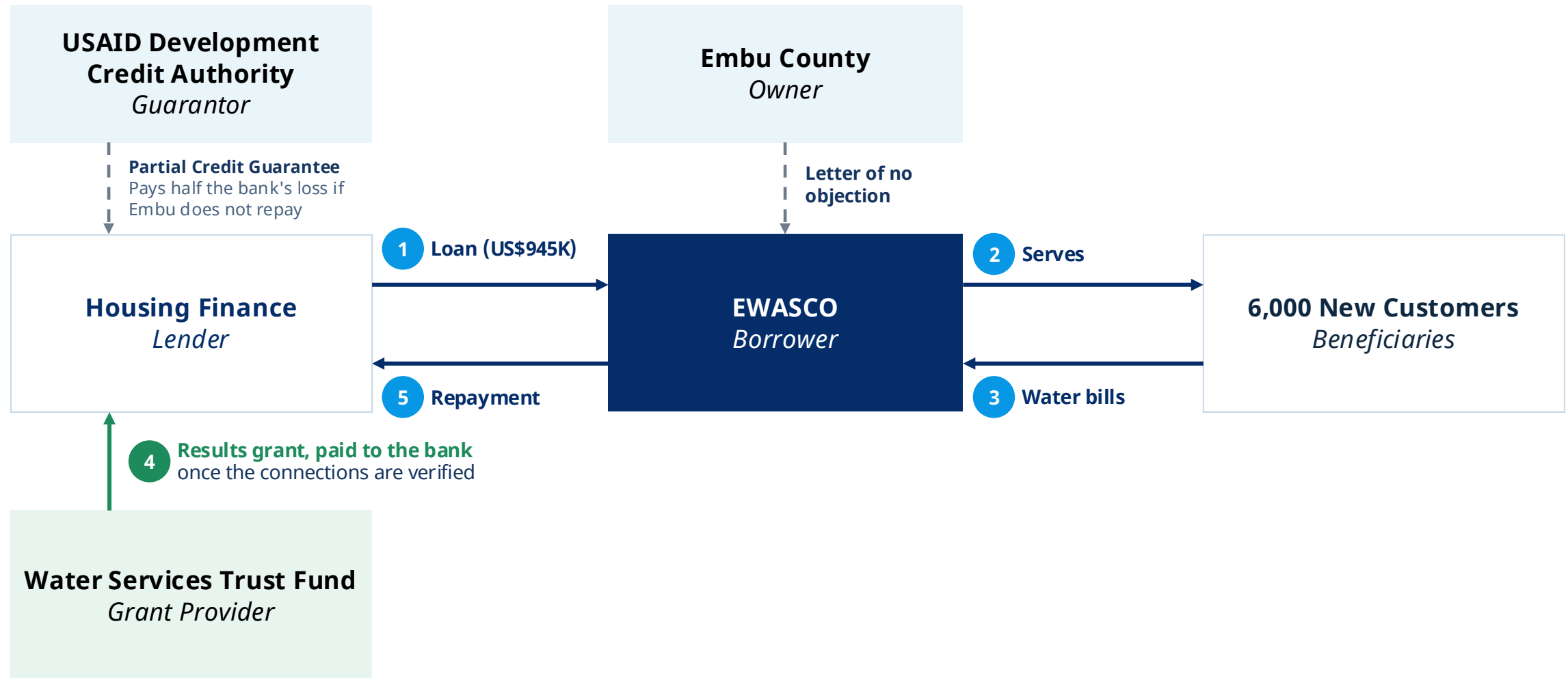
Flag	THE PROBLEM	WHAT EMBU DID	WHY THAT ANSWERS THE FLAG
4 Sovereign and DFI risk mitigation BEFORE: YELLOW AFTER: GREEN	In the first attempt, GuarantCo appraised the project and offered to negotiate a guarantee. Nothing was signed.	- Embu applied to Housing Finance, one of three Kenyan banks that had already signed a guarantee agreement with USAID. - It applied through the Water Services Trust Fund for a results grant financed by the German development bank.	The guarantee existed before Embu applied, so the loan did not wait on a new negotiation.
2 Offtaker credit BEFORE: YELLOW AFTER: YELLOW, COVERED	Rated BB in 2011, one step below investment grade.	- Audit by the International Finance Corporation led to better business processes, financial management and planning. - Bank held a guarantee on 50% of the loan.	- Financials were checked and improved before the bank issued the loan. - If Embu still failed to pay, the bank would recover half.

How Embu turned the flags green

Flag	THE PROBLEM	WHAT EMBU DID	WHY THAT ANSWERS THE FLAG
6 Legal route BEFORE: YELLOW AFTER: YELLOW, COVERED	- A regional public board, not Embu, owned the pipes and plants. Embu ran them as its agent and could not pledge them. - The law settling ownership after the move to counties was not passed until 2016.	- Loan was set up to be repaid from tariff revenue. - Kenyan law keeps water revenue inside the water sector. - Guarantee stood in for collateral.	Bank no longer needed the assets as security due to loan guarantee.
8 Borrower finances BEFORE: YELLOW AFTER: YELLOW, COVERED	- Small utility. - Under the grant programme it had to pay 20% of the project cost itself and borrow the rest at market rates.*	- Capacity to carry debt was assessed before it applied.* - Results grant repaid about half of the loan.* - Guarantee covered half of the loan.	Debt left to repay was sized to what Embu could carry.

* Applied to every utility in the support programme. The source does not describe it for Embu alone. Sources: World Bank (2016), Blended financing in Kenya; World Bank, Measuring Creditworthiness of Water Utilities; USAID (2014-2018); Kazimbaya-Senkwe (2018); Kenya water regulator.

Final Transaction



Funding access is a sequence, not a single application



ACORN'S CONTRIBUTION

Performance

Strengthen operations and reporting

Credit

Translate performance into lender evidence

Transaction

Package, connect, negotiate, and track conditions

Decision

Stop early when no credible mitigation path exists

What can ACORN do for me?

- Developing the project financial model
- Advising on financing structure
- Preparing economic cost-benefit models for the Treasury where public funds are needed
- Preparing teasers / investor-facing financial models
- Market sounding with prospective operators / bidders for full PPPs
- Investor matchmaking